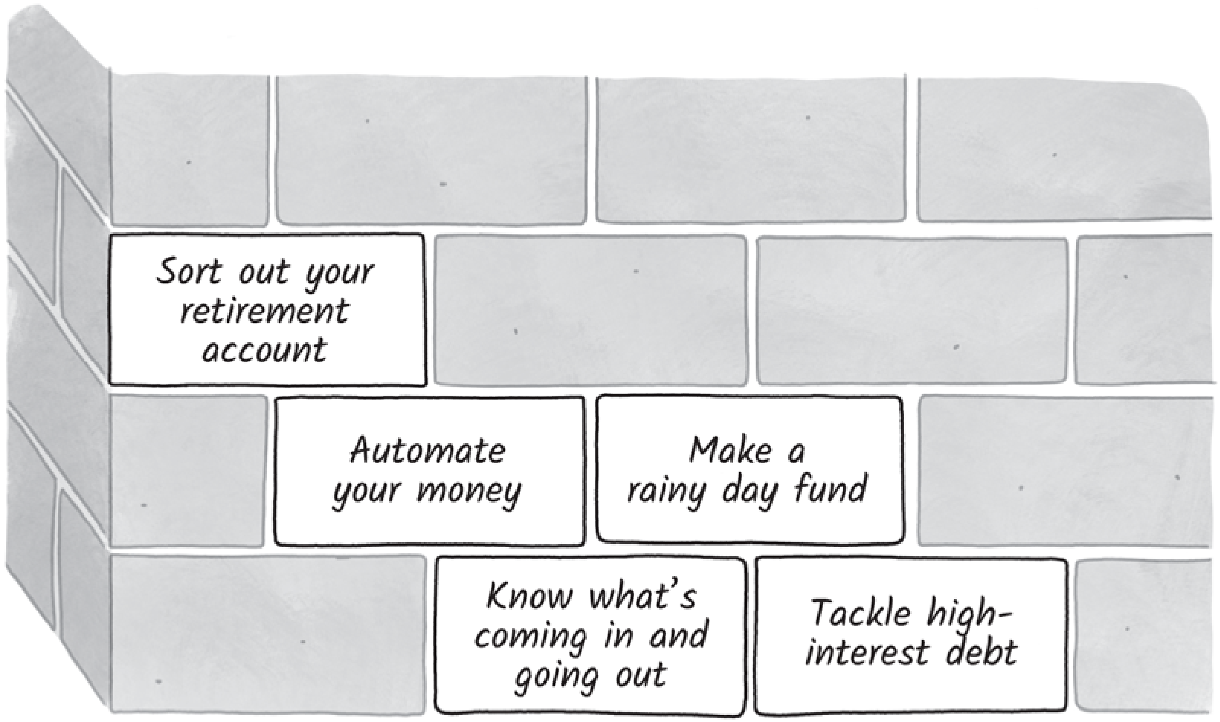

Figure 3.1: the 5 bricks

Brick #1: Know what's coming in and going out

The first thing to do before you begin your investing journey is to have a very clear understanding of how much money is coming in and out of your life. Some people call it checking your cash flow, or budgeting. Either way it's important to be crystal clear about your money. One of the most common habits of financially successful people is tracking their personal finance and understanding exactly how much they spend and make in a week.

Why? Well, if you can't track something you can't improve on it. Investors in training know it's hard to work out if we're getting better or worse with our money if we don't have metrics to compare it to. It doesn't mean tracking everything on a four-tab Excel spreadsheet, but it does mean knowing exactly how much you make and spend monthly. If I asked you what those two numbers were, would you be able to tell me?